

of an uninsured claim due to its ‘falling between the gaps’ of the two traditional insurance products.

However, the added complexity of AI solutions is driven by complex algorithms in addition to the data ingested or processed. Over time, change in data can significantly change product or solution characteristics; add to that cloud-based services. This just widens the gap in existing options, and with that, the prospect of falling through the gaps increases significantly.

Hence the AI insurance

Before we even think about AI insurance, let's see if there is a need for it. This need can only become evident when there are multiple issues with significant complexity. There has been a steady stream of warnings since the last half century to slow down and ensure we keep machines on a tight leash.

Many thought leaders have asked critical questions such as who accepts the responsibility when AI goes wrong, and what are the implications for the insurance industry when that happens.

Autonomous or driverless cars are the most important considerations for the insurance industry. In June 2016, British insurance company Adrian Flux started offering the first policy specifically geared towards autonomous and partly automated vehicles. This policy covers typical car insurance options, such as damage, fire, and theft.

Additionally, it also covers accidents specific to AI—loss or damage as a result of malfunctions in the car's driverless systems, interference from hackers, failure to install vehicle software updates and security patches, satellite failure, or failure of the manufacturer's vehicle operating system or other authorised software.

Volvo has said that when one of its vehicles is in autonomous mode, it is responsible for what happens.

This is an important step. However, it still fails to answer the question of

who is liable for any accidents? Who is at fault if the car malfunctions and runs over someone?

When autonomous machinery goes wrong in a factory and disrupts production, who is responsible? Is it the human operator who has thin-threaded control, or is it the management for buying the wrong system? May be it should be the manufacturer for not testing the autonomous machinery thoroughly enough.

We need to establish specific protections for potential victims of AI-related incidents, whether these are businesses or individuals, to give them confidence that they will have legal recourse if something goes wrong.

The most critical question from a customer's standpoint would be, who foots the bill when a robot or an intelligent AI system makes a mistake, causes an accident or damage, or becomes corrupted? The manufacturer, developer, the person controlling it, or the system itself? Or is it a matter of allocating and apportioning risk and liability?

Drew Turney, a journalist, argues in one of his articles, “We don't put the parents of murderers or embezzlers in jail. We assume everyone is responsible for his or her decisions based on the experience, memory, self-awareness, and free will accumulated throughout their lives.”

There are many examples where complex situations have occurred, which begets a need for AI insurance.

AI leads to a loss in fortune

Austria-based AI company 42.cx had developed a supercomputer named K1. It would comb through online sources like real-time news and social media to gauge investor sentiment and make predictions on the US stock futures. Based on data gathered and its analysis (based on that data), it would then send instructions to a broker to execute trades, adjusting its strategy over time based on what it had learned.

In May 2019, a Hong Kong real estate tycoon Samathur Li Kin-kan decided to sue the company that used trade-executing AIs to manage his account, causing him to lose millions of dollars. A first-of-its-kind court case opened up that could help determine who should be held responsible when AI goofs up.

While it is the first known instance of humans going to court over investment losses triggered by autonomous machines, it also highlights the black-box problem of AI vividly. If people don't know how the AI is making decisions, who's responsible when things go wrong?

The legal battle is a sign of what's coming as AI gets incorporated into all facets of life, from self-driving cars to virtual assistants.

Karishma Paroha, a London based lawyer, who specialises in product liability, has an interesting view. She says, “What happens when autonomous chatbots are used by companies to sell products to customers? Even suing the salesperson may not be possible. Misrepresentation is about what a person said to you. What happens when we're not being sold to by a human?”

Risky digital assistants for patients

In mid-2019, a large consulting firm started deploying voice-controlled digital assistants for hospital patients. The idea was that a digital device would be attached to the TV screen in the patient room, and the patient could request for assistance.

The firm wanted to replace the age-old call button service due to its inherent limitations. One of the significant limitations cited was that there was not enough context available for nurses to prioritise patients only based on the call request. With the age-old call button system, two patients could request help at the same time. While one of them may require urgent help, the other one could wait. However, with just the indication of